BYBLOS BANK

BUDGET 2018-2020

BYBLOS BANK SYRIA



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A. Key Performance Indicators:

SYP 000's	Dec/15	Dec/16	Expected Dec/17	Expected Growth in 2017 Vol	Expected Growth in 2017 %	Budget Dec-18	Budgeted Growth in 2018 Vol	Budgeted Growth in 2018 %
Total Assets	73,686,079	73,973,636	75,733,707	1,760,072	2.4%	80,380,046	4,646,338	6.1%
Customers' Deposits	32,608,367	37,931,497	45,901,373	7,969,876	21.0%	50,617,991	4,716,618	10.3%
Customer Loans (Net)	16,760,020	12,503,205	15,992,569	3,489,364	27.9%	24,272,095	8,279,526	51.8%
Classified Loans (Net)	(2,647,272)	(3,635,044)	(2,963,127)	671,917	-18.5%	(3,003,584)	(40,457)	1.4%
Total Equity	14,465,574	21,374,822	20,226,271	(1,148,551)	-5.4%	20,380,168	153,897	0.8%
Net Customers' Loans / Assets	22.7%	16.9%	21.1%			30.2%		
Net Customers' Loans / Customers' Deposits	51.4%	33.0%	34.8%			48.0%		
Gross Classified Loans/ Total Customers' Loans	39.1%	46.9%	45.2%			37.4%		
Total Provisions/ Gross Customers' Loans	47.5%	59.0%	53.9%			44.3%		

SYP 000's	Dec/15	Dec/16	Expected Dec/17	Expected Growth in 2017 Vol	Expected Growth in 2017 %	Budget Dec-18	Budgeted Growth in 2018 Vol	Budgeted Growth in 2018 %
Net Income	6,528,823	6,909,248	(1,148,551)	(8,057,799)	-116.6%	128,248	1,276,799	-111.2%
ROA	12.0%	9.6%	-1.5%			0.16%		
ROE	57.9%	37.0%	-5.5%			0.63%		

General Expenses	**1,151,097**	**1,815,624**	**2,171,708**	**356,084**	**19.6%**	**2,074,012**	**(97,696)**	-4.5%
Salaries & employees benefits	599,669	962,483	1,220,690	258,207	26.8%	1,164,814	(55,877)	-4.6%
Other operating expenses	491,015	782,036	865,003	82,967	10.6%	778,010	(86,993)	-10.1%
Depreciation	60,412	71,105	86,015	14,910	21.0%	131,188	45,173	52.5%
Cost-to-Income Ratio	59.1%	104.5%	150.4%			105.5%		
Number of employees	192	200	204			223		
Number of Branches	8	8	8			8		

Net Customers' Loans /Number of Staff	87,292	62,516	78,395		108,843
Total Deposits/Number of Staff	169,835	189,657	225,007		226,987
Total Assets/Number of Staff	383,782	369,868	371,244		360,449
Net Income/Number of Staff	34,004	34,546	(5,630)		575

Net Customers' Loans /Number of Branches	2,095,003	1,562,901	1,999,071		3,034,012
Total Deposits/Number of Branches	4,076,046	4,741,437	5,737,672		6,327,249
Total Assets/Number of Branches	9,210,760	9,246,704	9,466,713		10,047,506
Net Income/Number of Branches	816,103	863,656	(143,569)		16,031





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B. Balance Sheet

Byblos Bank Syria

Assets					Expected	Budget	Budget	Budget	Expected Growth in 2017		Budgeted Growth in 2018		Budgeted Growth	
In SYP 000's	Dec-15	Oct-16	Dec-16	Oct-17	Dec-17	Dec-18	Dec-19	Dec-20	Vol	%	Vol	%	2019	2020
Cash	3,169,866	6,731,511	5,300,830	6,403,708	6,141,083	5,960,628	5,860,628	5,860,628	840,253	15.9%	(180,456)	-2.9%	-1.7%	0.0%
Central Banks	11,987,582	13,099,134	14,892,563	22,131,662	20,438,920	16,925,300	16,376,281	16,781,330	5,546,357	37.2%	(3,513,621)	-17.2%	-3.2%	2.5%
Out of which reserve requirements	*2,489,753*	*2,226,415*	*2,205,859*	*1,984,622*	*2,295,069*	*2,530,900*	*2,795,275*	*3,058,775*	*89,210*	*4.0%*	*235,831*	*10.3%*	10.4%	9.4%
Governmental Securities	0	0	0	0	0	0	0	0	0	0.0%	0	0.0%	0.0%	0.0%
Fixed Income Securities	1,719,638	0	0	0	0	0	0	0	0	0.0%	0	0.0%	0.0%	0.0%
Equity Investment	375,539	386,229	391,797	397,302	403,231	416,731	432,231	449,731	11,434	2.9%	13,500	3.3%	3.7%	4.0%
Due from Banks	19,578,667	25,776,786	25,972,363	18,775,505	16,550,709	16,465,866	16,665,866	16,390,866	(9,421,654)	-36.3%	(84,843)	-0.5%	1.2%	-1.7%
Placements with H.O., Sister & subsidiaries	17,869,994	13,428,262	12,657,112	14,790,673	14,464,163	14,455,000	14,455,000	14,455,000	1,807,051	14.3%	(9,163)	-0.1%	0.0%	0.0%
Customer Loans	16,760,020	12,168,460	12,503,205	12,908,763	15,992,569	24,272,095	29,912,095	35,482,095	3,489,364	27.9%	8,279,526	51.8%	23.2%	18.6%
Acceptance	0	0	0	0	0	0	0	0	0	0.0%	0	0.0%	0.0%	0.0%
Investment in Unconsolidated Subsidiaries		0	0	0	0	0	0	0	0	0.0%	0	0.0%	0.0%	0.0%
Fixed Assets	1,085,671	1,168,289	1,191,706	1,251,705	1,226,038	1,371,926	1,883,345	2,366,467	34,332	2.9%	145,888	11.9%	37.3%	25.7%
Other Assets	1,139,101	1,242,607	1,064,060	1,381,825	516,994	512,500	517,750	523,250	(547,066)	-51.4%	(4,494)	-0.9%	1.0%	1.1%
Total Assets	**73,686,079**	**74,001,279**	**73,973,636**	**78,041,143**	**75,733,707**	**80,380,046**	**86,103,196**	**92,309,367**	**1,760,072**	**2.4%**	**4,646,338**	**6.1%**	**7.1%**	**7.2%**

Liabilities & Equity					Expected	Budget	Budget	Budget	Expected Growth in 2017		Budgeted Growth in 2018		Budgeted Growth	
In SYP 000's	Dec-15	Oct-16	Dec-16	Oct-17	Dec-17	Dec-18	Dec-19	Dec-20	Vol	%	Vol	%	2019	2020
Central Bank	0	0	0	0	0	0	0	0	0	0.0%	0	0.0%	0.0%	0.0%
Due to Banks & Financial Institutions	8,939,069	6,987,076	5,658,373	2,937,078	2,069,059	1,945,665	1,808,000	1,810,000	(3,589,314)	-63.4%	(123,394)	-6.0%	-7.1%	0.1%
Due to H.O., Sister & Subsidiaries	13,530,813	313	313	0	0	0	0	0	(313)	-100.0%	0	0.0%	0.0%	0.0%
Customer Deposits	32,608,367	36,698,867	37,931,497	46,842,087	45,901,373	50,617,991	55,905,491	61,175,491	7,969,876	21.0%	4,716,618	10.3%	10.4%	9.4%
Acceptances	0	0	0	0	0	0	0	0	0	0.0%	0	0.0%	0.0%	0.0%
Liabilities under Financial Instruments					0	0	0	0	0	0.0%	0	0.0%	0.0%	0.0%
Other Liabilities	788,251	826,901	757,119	1,052,142	948,108	847,325	862,500	877,500	190,989	25.2%	(100,783)	-10.6%	1.8%	1.7%
Provisions for Risk & Charges	3,354,004	8,230,337	8,251,512	6,325,599	6,588,896	6,588,896	6,588,896	6,588,896	(1,662,616)	-20.1%	0	0.0%	0.0%	0.0%
Subordinated Loans	0	0	0	0	0	0	0	0	0	0.0%	0	0.0%	0.0%	0.0%
Total Equity	14,465,574	21,257,787	21,374,822	20,884,237	20,226,271	20,380,168	20,938,309	21,857,480	(1,148,551)	-5.4%	153,897	0.8%	2.7%	4.4%
Total Liabilities & Equity	**73,686,079**	**74,001,279**	**73,973,636**	**78,041,143**	**75,733,707**	**80,380,046**	**86,103,196**	**92,309,367**	**1,760,072**	**2.4%**	**4,646,338**	**6.1%**	**7.1%**	**7.2%**



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Main Financial Ratios					Expected	Budget	Budget	Budget
	Dec-15	Oct-16	Dec-16	Oct-17	Dec-17	Dec-18	Dec-19	Dec-20
Growth								
Total Assets (Ytd)	35.53%	0.43%	-0.04%	5.50%	2.38%	6.14%	7.12%	7.21%
Net Customer Advances (Ytd)	33.70%	-27.40%	2.75%	3.24%	27.91%	51.77%	23.24%	18.62%
Customer Deposits (Ytd)	-24.19%	12.54%	3.36%	23.49%	21.01%	10.28%	10.45%	9.43%
Profitability								
ROA	11.96%	11.36%	9.60%	-0.80%	-1.54%	0.16%	0.67%	1.03%
ROE	57.91%	44.75%	36.95%	-2.76%	-5.52%	0.63%	2.70%	4.30%
Net Interest Margin	1.89%	1.44%	1.56%	1.38%	1.64%	2.19%	3.02%	3.59%
Interest Rate Spread Lcy	2.41%	2.65%	3.18%	1.71%	1.14%	1.97%	3.27%	3.91%
Interest Rate Spread Fcy	-0.02%	0.12%	0.06%	0.28%	0.25%	0.39%	0.39%	0.39%
Interest Rate Spread All ccy	0.10%	0.23%	0.31%	-0.46%	0.22%	0.76%	1.63%	2.24%
Cost to Income Ratio*	59.05%	114.38%	104.48%	155.50%	150.36%	105.49%	81.86%	71.88%
Net Interest Inc. / Total Operating Inc. *	64.15%	75.54%	77.36%	86.28%	82.23%	84.31%	87.21%	88.20%
Net Commission Inc. / Total Operating Inc. *	21.77%	17.67%	16.25%	10.95%	14.08%	12.45%	10.08%	9.25%
Net Financial Operations Inc. / Total Operati	13.95%	6.78%	6.39%	1.78%	2.96%	2.99%	2.52%	2.41%
Net Other Operations Inc. / Total Operating	0.13%	0.02%	0.01%	0.98%	0.74%	0.25%	0.18%	0.14%
Liquidity								
Liquid Assets Ratio	71.39%	79.78%	79.52%	79.58%	76.05%	66.94%	61.97%	57.94%
Net Loans to Customer deposits	51.40%	33.16%	32.96%	27.56%	34.84%	47.95%	53.50%	58.00%
Customer Deposits To Total Deposits	59.20%	84.01%	87.02%	94.10%	95.69%	96.30%	96.87%	97.13%
Off-Balance Sheet (In SYP 000's)								
Letters of Credit	125,289	-	-	-				
Letters of Guarantee	20,086,029	27,141,612	26,186,681	28,934,657				

** Excluding Unrealized Structural FX Income (Loss)*

The SYP/USD exchange rate is assumed to close at 498 at the end of Dec-17 down from 517.43 as at end Dec-16 and is expected to remain constant in 2018, 2019 and 2020.

Total assets are expected to increase by 2.4% (+SYP 1.8 billion) to reach SYP 75.7 billion at the end of Dec-17, and are budgeted to increase in 2018 by 6.1% (+SYP 4.6 billion) to reach SYP 80.4 billion at the end of Dec-18. Moreover, total assets are budgeted to increase in 2019 by 7.1% (+SYP 5.7 billion) to reach SYP 86.1 billion and in 2020 by 7.2% (+SYP 6.2 billion) to reach SYP 92.3 billion.

1. Customer deposits and loans denominated in SYP:

SYP 000's	Dec/16	Oct/17	Expected Dec/17	Expected Growth in 2017 Vol	%	Budget Dec-18	Budgeted Growth in 2018 Vol	%
LCY Customers' Deposits	**22,145,805**	**36,377,992**	**35,633,349**	**13,487,543**	**60.9%**	**40,634,991**	**5,001,643**	**14.0%**
Current accounts	10,538,783	15,144,037	14,870,339	4,331,556	41.1%	16,870,339	2,000,000	13.4%
Time deposits and blocked accounts	11,157,506	20,713,575	20,287,152	9,129,646	81.8%	23,287,152	3,000,000	14.8%
LCY Customer Loans (Net)	**11,545,059**	**12,446,854**	**15,043,863**	**3,498,804**	**30.3%**	**23,323,022**	**8,279,160**	**55.0%**
Gross Performing Loans	14,982,350	15,953,977	18,696,179	3,713,829	24.8%	27,002,679	8,306,500	44.4%
Commercial	14,249,619	14,970,136	17,605,360	3,355,741	23.5%	24,911,860	7,306,500	41.5%
Retail	732,732	983,841	1,090,819	358,087	48.9%	2,090,819	1,000,000	91.7%
LCY Gross Classified Loans	8,553,973	8,682,311	8,410,537	(143,436)	-1.7%	8,696,091	285,554	3.4%
*LCY Classified Loans (Net) **	(3,607,905)	(3,743,915)	(3,899,200)	(291,295)	8.1%	(3,939,656)	(40,457)	1.0%
Net LCY Customers' Loans /LCY Customers' Deposits	52%	34%	42%			57%		
Gross LCY Classified Loans/ LCY Customers' Loans	36%	35%	31%			24%		

** Net of reserved interest, specific & general provisions*

The bank aims at increasing its LCY customer deposits by 14.0% (+SYP 5.0 billion) during 2018 to reach SYP 40.6 billion through increasing its LCY current deposits by 13.4 % (+SYP 2.0 billion) and increasing its LCY term deposits by 14.8 % (+SYP 3.0 billion).
Interest rates on LCY time deposits are budgeted to decrease by 50 basis points to reach 10.1% during 2018 and to decrease gradually during 2019 and 2020 reaching 9.8% in 2020.

Net Loans and advances to customers in LCY are budgeted to increase in 2018 by 55% (+SYP 8.3 million) to reach SYP 23.3 billion.
Gross LCY performing commercial facilities are budgeted to increase by 41.5% (+SYP 7.0 billion) to reach SYP 24.9 billion, while gross performing retail loans are budgeted to increase by 91.7% (+SYP 1.0 billion) to reach SYP 2.1 billion at the end of Dec-18. This expected growth in retail loans will be mainly from housing and renovation loans.
Gross Classified loans in LCY are expected to increase by 3.4% (+SYP 286 million) in 2018. It is worth mentioning that the bank is expecting a rescheduling of SYP 306.5 million (5 clients) and a closing of SYP 249 million (4 clients).

Interest rates on LCY commercial loans are budgeted to decrease by 50 basis points from the expected rate as at end 2017 to reach 14.75% for the next three years; while LCY retail loans are budgeted to decrease by 13 basis points to reach 18.25% for the next 3 years.

2. Customer deposits and loans denominated in FCY:

SYP 000's	Dec/16	Oct/17	Expected Dec/17	Expected Growth in 2017 Vol	%	Budget Dec-18	Budgeted Growth in 2018 Vol	%
FCY Customers' Deposits	**15,785,692**	**10,464,095**	**10,268,024**	**(5,517,667)**	**-35.0%**	**9,983,000**	**(285,024)**	**-2.8%**
Current accounts	11,052,727	9,892,161	9,651,166	(1,401,561)	-12.7%	9,500,000	(151,166)	-1.6%
Time deposits and blocked accounts	3,566,279	386,577	329,346	(3,236,933)	-90.8%	200,000	(129,346)	-39.3%
FCY Customer Loans (Net)	**958,146**	**461,909**	**948,706**	**(9,440)**	**-1.0%**	**949,073**	**367**	**0.0%**
Gross Performing Loans	983,790	14	0	(983,790)	-100.0%	0	0	0.0%
Commercial	983,790	14	0	(983,790)	-100.0%	0	0	0.0%
Retail	-	-	-	-		-	-	
FCY Gross Classified Loans	5,547,954	7,114,676	6,987,933	1,439,979	26.0%	7,407,209	419,276	6.0%
*FCY Classified Loans (Net) **	(27,139)	461,895	936,073	963,212	-3549.1%	936,073	-	0.0%
Net FCY Customers' Loans /FCY Customers' Deposits	6%	4%	9%			10%		
Gross FCY Classified Loans/ FCY Customers' Loans	85%	100%	100%			100%		

** Net of reserved interest, specific & general provisions*

FCY deposits are budgeted to decrease by 2.8 %(-SYP 285.0 million) to reach SYP 10.0 billion.
FCY current deposits are budgeted to decrease by 1.6 % (-SYP 151.2 million) while FCY term deposits are budgeted to decrease by 39.3 % (-SYP 129.3 million).
Interest rates on FCY time deposits are budgeted to decrease by 145 basis points to reach 0.25% in 2018.

It is worth mentioning that the bank will not be having any interest on FCY loans since they are all classified.

Deferred tax assets related to 2013 amounting to SYP 521 million, will be amortized during 2017 if the bank increases its capital and sells part of its structural position in USD which will incur a tax on the realized gain.

3. Fixed Assets

In SYP thousands

	2017				2018				
	Depr. Rate	Book Value	Accumulated Depreciation	Net Book Value	Purchases	Dep. Old Items	Dep. Purchases	Ttl Dep	Net Book Value
Tangible Fixed Assets									
Land	0.00%	243,841,025	-	243,841,025	75,000,000	-	-	-	318,841,025
Premises In Use for operation	2.00%	714,667,758	152,472,718	562,195,040	50,000,000	14,182,795	(0)	14,182,795	598,012,245
General Installation	20.00%	554,044,214	480,295,938	73,748,276	28,570,000	24,489,084	5,404,500	29,893,584	72,424,692
Furniture	9.00%	70,056,387	51,327,317	18,729,070	31,530,000	4,787,019	2,430,225	7,217,244	43,041,826
Machine	13.00%	144,803,654	54,416,611	90,387,042	42,762,000	16,777,688	4,207,905	20,985,593	112,163,450
Hardware	20.00%	249,402,602	124,432,072	124,970,530	90,660,000	29,887,816	10,148,700	40,036,516	175,594,014
Communication	30.00%	20,021,076	14,361,896	5,659,180	1,500,000	3,972,400	225,000	4,197,400	2,961,780
Cars	25.00%	40,839,395	23,872,842	16,966,553	-	6,173,099	-	6,173,099	10,793,454
Signs	30.00%	8,519,428	6,800,819	1,718,609	-	891,000	-	891,000	827,609
		2,046,195,538	**907,980,213**	**1,138,215,325**	**320,022,000**	**101,160,900**	**22,416,330**	**123,577,230**	**1,334,660,095**
Intangible Fixed assets	20.00%	**49,321,921**	**29,445,203**	**19,876,719**	**25,000,000**	**5,111,001**	**2,500,000**	**7,611,001**	**37,265,718**

Fixed assets are budgeted to increase by 11.9% (+SYP 145.9 million) to reach SYP 1.4 billion mainly due to:

- A new land with a warehouse for the archiving purposes amounting to SYP 125 million is budgeted to be purchased during 2018, but will not be subject to any deprecation in 2018 since it will be equipped and operative in 2019.
- Five ATMS are budgeted to be purchased in 2018.
- Cisco Jabber for video calls is budgeted to be purchased and installed in 2018 amounting to USD 10,000.
- CCTV (Security Cameras and recordings) and BMS (Building management system software) are budgeted to be purchased in the first quarter of 2018.
- AML and reporting softwares will be purchased at USD 25,000 each.
- Equipment of the Data recovery center (RDC) in Tartous was purchased and will be installed in December 2017. However, the depreciation will start in the beginning of 2018.
- It is worth mentioning that the office rented from ADIR Syria will be renovated starting December 2017.
- E-archiving software amounting to USD 35,000 will be purchased and installed during December 2017.

Branches

- If the Situation permits, Homs branch and University office in Daraa will reopen in 2018. However, no amount is booked in the budget.
- A new branch to be purchased during 2018 if the situation permits and the bank has enough extra liquidity. However, no amount is booked in the budget.

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C. Profitability

Income & Expenses					Expected	Budget	Budget	Budget	Expected Growth in 2017		Budgeted Growth in 2018		Budget Growth	
Income in SYP 000's	Dec-15	Oct-16	Dec-16	Oct-17	Dec-17	Dec-18	Dec-19	Dec-20	Vol	%	Vol	%	2019	2020
Interest Income	2,970,966	2,174,728	2,740,263	2,413,042	2,949,431	3,779,917	4,861,595	5,809,932	209,168	7.6%	830,486	28.2%	28.6%	19.5%
Interest Paid	1,720,461	1,146,428	1,395,938	1,393,290	1,761,834	2,122,462	2,425,355	2,718,368	365,897	26.2%	360,628	20.5%	14.3%	12.1%
Net Interest Income Before Provisions	**1,250,505**	**1,028,301**	**1,344,325**	**1,019,752**	**1,187,597**	**1,657,455**	**2,436,239**	**3,091,564**	**(156,728)**	**-11.7%**	**469,858**	**39.6%**	**47.0%**	**26.9%**
Provision for doubtful loans	(873,791)	(1,010,547)	(1,387,919)	113,808	(628,131)	(244,353)	(200,000)	(200,000)	759,788	-54.7%	383,779	-61.1%	-18.2%	0.0%
Net Interest Income After Provisions	**2,124,296**	**2,038,848**	**2,732,245**	**905,944**	**1,815,728**	**1,901,807**	**2,636,239**	**3,291,564**	**(916,517)**	**-33.5%**	**86,079**	**4.7%**	**38.6%**	**24.9%**
Commissions Received	425,764	242,866	285,726	168,243	204,737	245,930	282,820	325,243	(80,989)	-28.3%	41,193	20.1%	15.0%	15.0%
Commission Paid	1,475	2,367	3,383	38,829	1,411	1,093	1,107	1,123	(1,972)	-58.3%	(318)	-22.5%	1.3%	1.5%
Net commission Income	**424,289**	**240,498**	**282,343**	**129,414**	**203,326**	**244,837**	**281,713**	**324,120**	**(79,017)**	**-28.0%**	**41,511**	**20.4%**	**15.1%**	**15.1%**
FX Income (Net)	**8,210,106**	**10,628,722**	**10,647,884**	**(428,768)**	**(1,143,048)**	**58,698**	**70,437**	**84,525**	**(11,790,933)**	**-110.7%**	**1,201,746**	**-105.1%**	**20.0%**	**20.0%**
Net Other Operating Income (Expense)	**2,565**	**257**	**192**	**11,629**	**10,633**	**5,000**	**5,000**	**5,000**	**10,441**	**5425.3%**	**(5,633)**	**-53.0%**	**0.0%**	**0.0%**
Total Operating Income	**10,761,256**	**12,908,324**	**13,662,664**	**618,220**	**886,639**	**2,210,342**	**2,993,390**	**3,705,209**	**(12,776,025)**	**-93.5%**	**1,323,703**	**149.3%**	**35.4%**	**23.8%**
Expenses														
Salaries & employees benefits	599,669	790,612	962,483	1,017,782	1,220,690	1,164,814	1,345,757	1,558,821	258,207	26.8%	(55,877)	-4.6%	15.5%	15.8%
Other operating expenses	491,015	582,282	782,036	748,187	865,003	778,010	789,697	781,449	82,967	10.6%	(86,993)	-10.1%	1.5%	-1.0%
Management Agreement	0	125,480	0	(0)	(0)	0	0	0	(0)	-90100.0%	0	-100.0%	0.0%	0.0%
Depreciations	60,412	58,723	71,105	71,822	86,015	131,188	151,081	179,378	14,910	21.0%	45,173	52.5%	15.2%	18.7%
Total Operating Expenses	**1,151,097**	**1,557,096**	**1,815,624**	**1,837,790**	**2,171,708**	**2,074,012**	**2,286,535**	**2,519,648**	**356,084**	**19.6%**	**(97,696)**	**-4.5%**	**10.2%**	**10.2%**
Net Income before taxes	**9,610,160**	**11,351,228**	**11,847,040**	**(1,219,570)**	**(1,285,069)**	**136,330**	**706,855**	**1,185,561**	**(13,132,109)**	**-110.8%**	**1,421,399**	**-110.6%**	**418.5%**	**67.7%**
Provisions for extraordinary loss	**3,049,932**	**3,870,598**	**4,010,994**	**(450,000)**	**(450,000)**	**0**	**0**	**0**	**(4,460,994)**	**-111.2%**	**450,000**	**-100.0%**	**0.0%**	**0.0%**
General Provisions	**(109,254)**	**489,812**	**618,958**	**(260,980)**	**337,483**	**0**	**0**	**0**	**(281,476)**	**-45.5%**	**(337,483)**	**-100.0%**	**0.0%**	**0.0%**
Dividends Received	**24,102**	**23,190**	**28,758**	**18,005**	**24,000**	**26,000**	**28,000**	**30,000**	**(4,758)**	**-16.5%**	**2,000**	**8.3%**	**7.7%**	**7.1%**
Taxes	164,761	666,694	336,598	0	0	34,083	176,714	296,390	(336,598)	-100.0%	34,083	0.0%	418.5%	67.7%
Net Income	**6,528,823**	**6,347,313**	**6,909,248**	**(490,585)**	**(1,148,551)**	**128,248**	**558,141**	**919,171**	**(8,057,799)**	**-116.6%**	**1,276,799**	**-111.2%**	**335.2%**	**64.7%**

Net income is expected to decrease by 116.6% (-SYP 8,058 million) recording a loss of SYP 1,148.6 million at the end of Dec-17. The expected loss is mainly due to the appreciation of the Syrian pound from SYP/USD 517.43 as at end Dec-16 to an expected SYP/USD 498 as at end Dec-17 which will result an unrealized loss of SYP 1,191 million. It is worth mentioning that for every one SYP/USD decrease in rate the bank will have a loss of SYP 61 million. Net income is budgeted to increase in 2018 by 111.2% (+SYP 1,277 million) to reach SYP 128.2 million.
ROA and ROE are budgeted at 0.16% and 0.63% respectively in 2018.

1. Net interest spread in LCY:

Net interest SYP spread is budgeted to increase by 83 basis points to reach 1.97% in 2018 knowing that average interest earning assets denominated in SYP is budgeted to increase by 16.48 % (+SYP 6,434 million) and the net interest income in SYP is budgeted to increase by 59.13% (+SYP 454.1 million). Yield on customers' loans is budgeted to increase by 71 basis point to reach 10.91% in 2018.

It its worth mentioning that no LCy amount will be placed as money market in local banks, therefore there will be no return on due from banks.

	Actual Oct 2017					Expected 2017					Budget 2018				Growth
Interest Earning Assets (Lcy In SYP million)	**Average**	**Weight**	**Interest Income**	**Avg. Rate**		**Average**	**Weight**	**Interest Income**	**Avg. Rate**		**Average**	**Weight**	**Interest Income**	**Avg. Rate**	**(Basis Points)**
Cash & Central Bank	9,331	25.9%				11,703	30.0%				13,556	29.8%			
Due from Banks	1,989	5.5%	24.2	1.44%		2,188	5.6%	22.83	1.04%		522	1.1%	0.00	0.00%	(104)
Customer Loans	24,649	68.5%	2,138.7	10.27%		25,141	64.4%	2,563.1	10.19%		31,388	69.0%	3,423.8	10.91%	71
Total Interest Earning Assets	**35,969**	**100.0%**	**2,163.0**	**7.12%**		**39,032**	**100.0%**	**2,586.0**	**6.63%**		**45,466**	**100.0%**	**3,423.8**	**7.53%**	**91**

Interest Bearing Liabilities (Lcy in SYP million)	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**		**Average**	**Weight**	**Interest Expense**	**Avg. Rate**		**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Growth (Basis Points)**
Due to Banks	4,796	15.8%	157.9	3.95%		4,219	12.7%	141.7	3.36%		1,725	4.4%	0.8	0.04%	-331
Customer Deposits	25,654	84.2%	1,213.3	5.68%		28,941	87.3%	1,676	5.79%		37,868	95.6%	2,201	5.81%	2
Total Interest Bearing Liabilities	**30,450**	**100.0%**	**1,371.2**	**5.41%**		**33,160**	**100.0%**	**1,818.1**	**5.48%**		**39,594**	**100.0%**	**2,201.8**	**5.56%**	**8**
Net SYP Spread			**791.8**	**1.71%**				**767.9**	**1.14%**				**1,222.0**	**1.97%**	**83**

2. Net interest spread in FCY:

Net FCY interest spread is budgeted to increase by 14 basis points to reach 0.39% at end of Dec-18. Average interest earning assets in FCY is budgeted to decrease by 6.75% (-SYP 3,223 million) and net interest income is budgeted to decrease by 4.7% (-SYP 8.8 million).
It is worth mentioning that the bank will not be having any interest on FCY loans since they are all classified.

	Actual Oct 2017					Expected 2017					Budget 2018				Growth (Basis Points)
Interest Earning Assets (FCY In SYP million)	**Average**	**Weight**	**Interest Income**	**Avg. Rate**		**Average**	**Weight**	**Interest Income**	**Avg. Rate**		**Average**	**Weight**	**Interest Income**	**Avg. Rate**	
Cash & Central Bank	6,061	12.6%				6,349	13.3%				6,950	15.6%			
Due from Banks	20,810	43.1%	51.6	0.29%		19,940	41.7%	71.59	0.36%		15,974	35.9%	69.00	0.43%	7
Due from Head Office	14,541	30.1%	91.3	0.74%		14,619	30.6%	88	1.20%		14,434	32.4%	108.26	1.48%	29
Customer Loans	6,853	14.2%	56.6	0.98%		6,871	14.4%	49.5	0.72%		7,198	16.2%	0.0	0.00%	-72
Total Interest Earning Assets	**48,266**	**100.0%**	**199.5**	**0.49%**		**47,779**	**100.0%**	**209.4**	**0.44%**		**44,556**	**100.0%**	**177.3**	**0.40%**	**-4**

Interest Bearing Liabilities (Lcy in SYP million)	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**		**Average**	**Weight**	**Interest Expense**	**Avg. Rate**		**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Growth (Basis Points)**
Due to Banks	273	2.1%				296	2.3%				282	2.7%			
Customer Deposits	12,677	97.9%	22.1	0.21%		12,535	97.7%	24	0.19%		10,122	97.3%	1	0.01%	-19
Total Interest Bearing Liabilities	**12,950**	**100.0%**	**22.1**	**0.17%**		**12,830**	**100.0%**	**24.0**	**0.19%**		**10,405**	**100.0%**	**0.7**	**0.01%**	**-18**
Net SYP Spread			**177.3**	**0.28%**				**185.4**	**0.25%**				**176.6**	**0.39%**	**14**

Net Commission income is budgeted to increase by 20.4% (+SYP 41.5 million) to reach SYP 244.8 million in 2018. The increase will be mainly due to the growth in trade finance activities, which are budgeted to increase by 20% in 2018.
Commission on banking services are budgeted to increase by 20.3 %(+SYP 18.4 million) to reach SYP 109.0 million.

Staff expenses are budgeted to decrease by 4.6% (-SYP 55.9 million) to reach SYP 1,164.8 million mainly due to the decrease in expatriates salaries and the appreciation of the Syrian pound. Despite the decrease in staff expenses, local employees' salaries are budgeted to increase by 20%, in addition to a yearly bonus of 3 salaries on average.
Scholarity indemnities are budgeted to increase by 30% in 2018.

General expenses are budgeted to decrease by 10.1% (-SYP 87.0 million).The main variances in general expenses can be detailed as follows:

- Insurance expenses are budgeted to decrease by 55% (-SYP 56.0 million) to reach SYP 46.5 million in 2018 due to the new insurance contract signed with a local insurer for US$ 80 thousand compared to US$ 225 thousand last year.
- Premises expenses are budgeted to decrease by 9.2% (-SYP 22.8 million) to reach SYP 223.8 million in 2018. The decrease in Premises expenses is mainly due to the decrease in Electricity expenses by 12.6 %, Premises Maintenance & Repairs by 6.7% and Flowers & Plantations by 80%.
- Other taxes are budgeted to decrease by 80.2%(-SYP 8.1 million) to reach SYP 2.0 million. (Taxes were inflated in 2017 due to taxes paid to the ministry of finance for a special mission on Salaries and Non-Resident Suppliers tax).
- Expertise Expenses are budgeted to decrease by 6.7% (-SYP 2.4 million) to reach SYP 33.0 million due to the decrease in FX rate.
- Computer maintenance expenses are budgeted to decrease by 2% (-SYP 1.0 million) to reach SYP 49.3 million due to the decrease in FX rate.
- Rental expenses are budgeted to increase by 10% (+SYP 10 million) to reach SYP 110.7 million due to the new office rented (ADIR Syria building,2nd floor).
- Marketing expenses are budgeted to increase by 19% (+SYP 4 million) to reach SYP 26.3 million, since the budget was reversed and not used in 2017.